

Question 4: Respondents selecting “a,” indicating that they feel more optimistic when choosing their own lottery numbers instead of accepting randomized numbers, are likely to be susceptible to illusion of control bias.

ADVICE

Following are four advisories that investors can implement to stem the detrimental financial effects of illusions of control.

1. *Recognize that successful investing is a probabilistic activity.* The first step on the road to recovery from illusion of control bias is to take a step back and realize how complex U.S. and global capitalism actually is. Even the wisest investors have absolutely no control over the outcomes of the investments that they make.
2. *Recognize and avoid circumstances that trigger susceptibility illusions of control.* A villager blows his trumpet every day at 6 p.m., and no stampede of elephants ensues. Does the trumpet really keep the elephants away? Applying the same concept to investing, just because you have deliberately determined to purchase a stock, do you really control the fate of that stock or the outcome of that purchase? Rationally, it becomes clear that some correlations are arbitrary rather than causal. Don't permit yourself to make financial decisions on what you can logically discern is an arbitrary basis.
3. *Seek contrary viewpoints.* As you contemplate a new investment, take a moment to ponder whatever considerations might weigh against the trade. Ask yourself: Why am I making this investment? What are the downside risks? When will I sell? What might go wrong? These important questions can help you to screen the logic behind a decision before implementing that decision.
4. *Keep records.* Once you have decided to move forward with an investment, one of the best ways to keep illusions of control at bay is to maintain records of your transactions, including reminders spelling out the rationales that underlie each trade. Write down some of the important features of each investment that you make, and emphasize those attributes that you have determined to be in favor of the investment's success.

If you want proof that this fourth habit, in particular, pays off, look no further than renowned former Fidelity Magellan Fund manager Peter Lynch. Lynch was a meticulous record keeper, documenting his opinions on